11. Wage is an example for _____ cost of the production.

a. fixed

b. variable

c. marginal

d. opportunity

12. The cost per unit of output is denoted by _____ cost.

a. average

b. marginal

c. variable

d. total

13. Identify the formula of estimating average cost.

a. AVC/Q

b. TC/Q

c. TVC/Q

d. AFC/Q

14. Find total cost where TFC=I00 and TVC = 125.

a. 125

b. 175

c. 225

d. 325

15. Long-run average cost curve is also called as _____ curve.

a. demand

b. planning

c. production

d. sales

16. Revenue received from the sale of products is known as _____ revenue.

a. profit

b. total revenue

c. average

d. marginal

17. Revenue received from the sale of additional unit is termed as _____ revenue.

a. profit

b. average

c. marginal

d. total

18. Marginal revenue is the addition made to the

a. total sales

b. total revenue

c. total production

d. total cost

19. When price remains constant, AR will be _____ MR.

a. equal to

b. greater than

c. less than

d. not related to

20. A book seller sold 40 books with the price of ₹10 each. The total revenue of the seller is ₹_____.

a. 100

b. 200

c. 300

d. 400

Chapter-04.indd 96 06-02-2020 16:17:07